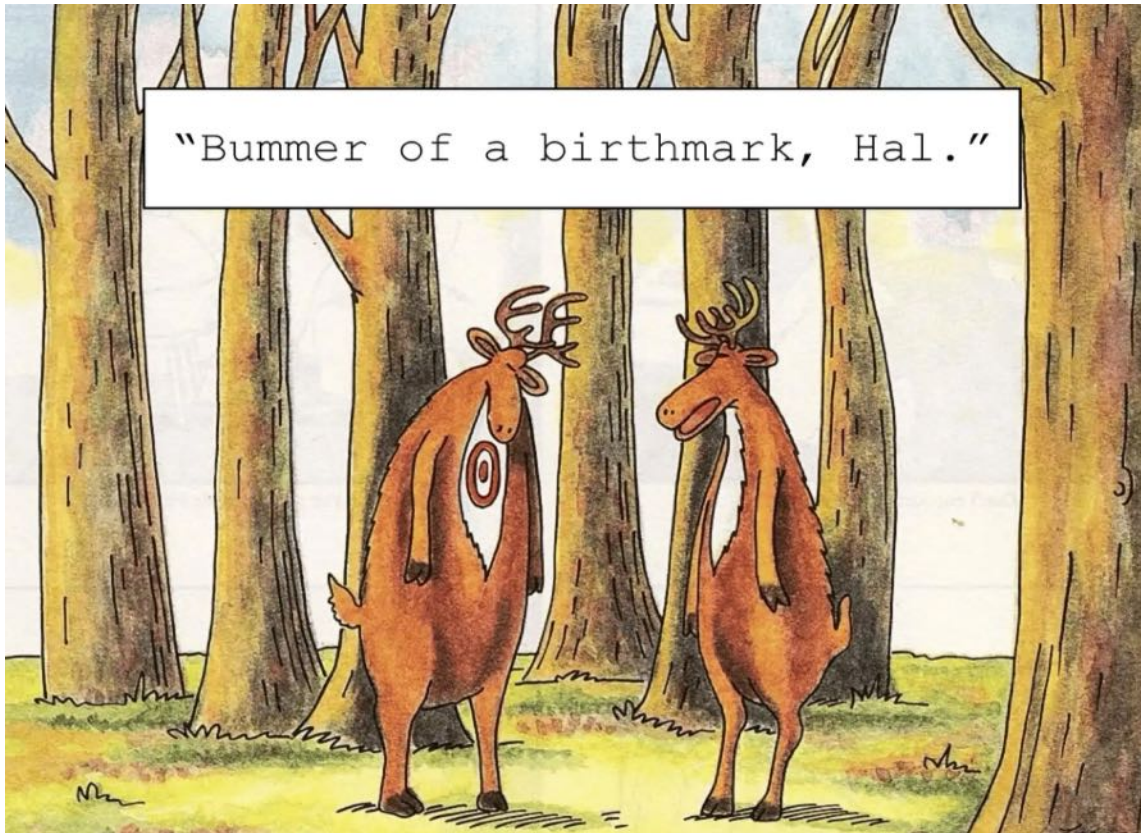


Armstrong

— Financial Services —



Is My IFA Life Insurance a Tax Shelter? (And why should I care?)

David Kakon, B.Sc. (Math Hons.), August 2026 / David@ArmstrongLife.com

Many fully leveraged Immediate Financing Arrangements (IFAs) may meet the Income Tax Act's technical definition of an unregistered tax shelter – not because of aggressive tax planning, but because of basic arithmetic. When a promoter's own marketing materials represent that borrowed funds (matching the premium dollar-for-dollar) will be invested and used to generate a tax deduction, and that financing is legally a "limited-recourse amount" under s. 143.2, the resulting "net cost" calculation under s. 237.1(1) can fall to \$0 – triggering the statutory tax-shelter threshold. This article walks through the statutory mechanics step by step and sets out the questions advisors and policyholders should ask before proceeding.

The “Free Insurance” Pitch: Context and Scope

Immediate Financing Arrangements (IFAs) have been widely promoted to high-net-worth individuals as a strategy to acquire permanent life insurance at seemingly “no cost”.

In a nutshell, the sales pitch relies on a specific mathematical sequence: a client purchases an exempt life insurance policy, pays the premium, and then immediately borrows back an identical amount from a bank. This 100% matched loan makes the premium outlay cash-flow neutral, allowing the client to reinvest those funds. Because this lifelong debt is designed to be repaid entirely from the tax-free policy payout, the financial illustration simply subtracts the projected loan balance from the death benefit. By focusing the client's attention on the net positive balance remaining for the estate, the illustration creates the distinct impression that they have obtained “free” insurance.

A critical variable in this formula is the annual cost of carrying that outstanding debt until death. The plan's commercial viability hinges on illustrating this ongoing interest as tax-deductible, which is achieved by representing that the loan will be used for a legally qualifying purpose. Without this represented tax deduction, paying the full interest out-of-pocket with after-tax dollars eliminates its financial appeal. By explicitly integrating the policy premium, the matching loan, and the tax-deductible interest, the plan is uniquely designed to minimize the cost of insurance and reduce or eliminate the net cash outlay entirely.

This financial arrangement is explicitly represented in the sales pitch, the branding, and most importantly, in the financial illustrations. Every IFA we are describing here includes the following columns in its product illustration: Premium, Annual Loan, Loan Balance, Interest Amounts, **Interest Deduction Amounts**, and Net Death Benefit.

(Note: For the purposes of this tax-shelter analysis, it is irrelevant whether the remaining net interest after deductions is paid out-of-pocket or capitalized through further collateral borrowing. Under the Income Tax Act, interest payments are strictly an expense amount, and they do not contribute to or increase the legal “cost” basis of the relevant property.)

We recognize that not every loan secured by a life insurance policy is an IFA. A business owner who independently purchases insurance and later obtains a standard commercial loan is in a fundamentally different position. Therefore, to prevent any ambiguity, for the strict purposes of this analysis, when we refer to an “IFA,” we are analyzing only the specific, integrated package where the principal loan advance exactly equals the premium, representations of tax deductions are made, and the debt is structured to be carried until death.

The Statutory Test: Evaluating IFA Tax-Shelter Risk

To understand the compliance risk facing IFAs, it is helpful to start with what a tax shelter actually is under Canadian tax law—and why it matters.

Statutorily, a tax shelter is not automatically illegal, fraudulent, or abusive. In simple terms, it is any arrangement where the tax deductions or losses represented to a purchaser over the first four years equal or exceed their recognized net cost.

For example, if a promoter proposes a strategy where you purchase artwork for \$5,000, but represents that you can donate it for a \$20,000 tax receipt, the represented tax benefits outpace your net out-of-pocket cost. That is the classical mechanics of a tax shelter.

There is nothing inherently prohibited about entering into such a structure, but when an arrangement meets this definition, strict administrative rules immediately apply. By law, the promoter must register the strategy with the CRA pre-sale, obtain a Tax Shelter Identification Number, and provide the CRA with a list of all subscribers. In turn, subscribers are required to report the Tax Shelter ID on their annual tax returns.

Crucially, obtaining a Tax Shelter Identification Number does not mean the CRA has pre-approved the plan or validated its tax deductions. Instead, it serves as a formal signal to tax authorities, virtually guaranteeing an audit to ensure the strategy is fully compliant. If an arrangement qualifies as a tax shelter but is offered without a registration number, the tax code imposes severe consequences, including the potential denial of all deductions and substantial promoter penalties.

The IFA Mathematical Trigger: When Net Cost Falls to Zero

Under subsection 237.1(1) of the Income Tax Act, the tax-shelter definition compares represented deductions against the client’s recognized “net cost”—defined as the gross cost of the property minus any “prescribed benefits” (which includes limited-recourse debt).

This is why the statutory math of a 100% premium-financed IFA is so relevant and important. Consider a scenario where a client pays a \$100,000 annual insurance premium and immediately borrows back \$100,000 to invest. If, and only if, that \$100,000 financing is determined to be a prescribed benefit in respect of the relevant property interest, and the relevant cost is \$100,000, the resulting recognized net cost would be \$0:

$$| \text{\$100,000 gross outlay} - \text{\$100,000 prescribed benefit} = \text{\$0 net cost}$$

Importantly, the tax-shelter definition is designed to be a self-contained calculation. It determines the relevant property cost without applying the Act’s other general rules that typically reduce the cost of an asset for limited-recourse debt (specifically, section 143.2). Instead, it takes the full \$100,000 initial cost and directly subtracts the prescribed benefit. The \$0 figure in this example therefore comes strictly from the tax-shelter formula itself, preventing any argument that the cost-reduction is being double-counted.

Because the formula is strictly mathematical, a recognized net cost of \$0 is hyper-sensitive: an illustration showing even \$1 of represented tax deductions in Year 1 crosses the statutory threshold ($\$1 > \0) and triggers the tax-shelter classification.

However, a 100%-financed premium does not automatically result in a \$0 net cost. The financing only reduces the recognized cost to zero if it is legally characterized as a “prescribed benefit” in respect of the property in question. That classification relies entirely on two specific statutory tests: the financing must be a “limited-recourse amount” under ss. 143.2(7) and (12), and it must be “in respect of” the relevant property under Reg. 3100.

Here is how the statutory cascade makes that connection:

1. Is the relevant financing legally a “limited-recourse amount”?
2. If yes, is that loan a “prescribed benefit” in respect of the plan’s property?
3. If yes, are the deductions represented in the plan equal to or greater than the plan’s recognized net cost (Cost minus Prescribed Benefit)?

Note: Counterintuitively, the tax-shelter test under subsection 237.1(1) of the Income Tax Act (ITA) is triggered by representations made (whether through sales meetings, promotional materials, financial illustrations, etc.) rather than actual commercial outcomes. This is because subsection 237.1(4) legally requires a Tax Shelter Identification Number to be obtained before the strategy can be sold, issued, or funded.

This creates a critical compliance threshold: integrating projected tax deductions into a cash-flow-neutral insurance strategy brings the arrangement directly under complex tax scrutiny. Representing tax deductions on a structure with a potentially \$0 net cost is precisely where performing this statutory calculation becomes essential, as overlooking it risks exposing the arrangement to strict statutory penalties, albeit unintentionally.

Applying this framework to a fully leveraged IFA requires testing its structural components against each layer of the statutory definition. Let’s walk step by step through a standard 100% premium-financed IFA in the context of this three-part statutory cascade:

1. Limited-Recourse Debt & The Deeming Provision

When evaluating whether an IFA loan is a “limited-recourse amount,” industry practitioners often point to outside collateral, personal guarantees, and the lender’s ability to call the loan on demand as proof that the debt is “fully recourse.” While these features satisfy a bank’s commercial risk requirements, they do not resolve the statutory question.

Subsection 143.2(7) is a strict statutory deeming provision that explicitly overrides ordinary commercial characterization. The law provides that the unpaid principal of an indebtedness is legally *deemed* to be a limited-recourse amount *unless* a specific timing condition is met at inception: there must be bona fide arrangements, evidenced in writing, to repay the principal and interest within a reasonable period not exceeding 10 years.

*“...the unpaid principal amount of the indebtedness shall be **deemed** to be a limited-recourse amount... **unless** bona fide arrangements were made in writing, at the time the indebtedness arose, for repayment of all principal and interest... within a reasonable period not exceeding 10 years.”*

Paragraph 143.2(7)(a) contains the repayment-arrangement requirement, while paragraph 143.2(7)(b) contains separate interest requirements. The interest condition is specific: interest must be payable at least annually, at or above the statutory prescribed-rate threshold, and paid within 60 days after the end of the debtor’s taxation year. The facts examined here appear to satisfy these requirements, subject to verification of the actual loan rate and payment history – but the principal repayment requirement is much harder to bypass. Where that bona fide 10-year written repayment arrangement is objectively absent, the unpaid principal is deemed to be a limited-recourse amount, regardless of any collateral or guarantees supporting the loan.

The Demand-Loan Workaround May Not Avoid the 10-Year Rule

To navigate this 10-year requirement, promoters often rely on the demand nature of the facility. The argument is that a one-year renewable demand loan is, by definition, shorter than 10 years. However, the ITA explicitly anticipates this workaround.

Under s. 143.2(12), if the repayment arrangement can reasonably be considered part of a “*series of loans or other indebtedness and repayments*” that ends more than 10 years after the series begins, the debtor is considered **not to** have made arrangements to repay the indebtedness within 10 years. This is exactly where the conflict between the commercial loan defence and the operational reality springs the statutory trap. Marketing materials and illustrations unequivocally characterize the debt as being carried for life and settled entirely from the death benefit. Indeed, paying off the principal early would defeat the primary mathematical objective of the strategy.

An examination of standard IFA loan documentation corroborates this reality (see Appendix 3). These facilities are typically structured as interest-only demand loans with no fixed maturity date and no contractual schedule requiring the repayment of principal within any 10-year period. Instead, the loan balances roll over continuously, and the agreements often formally classify the death of the insured as a triggering event for repayment.

Because both the marketing representations and the actual loan mechanics frame these facilities as lifelong arrangements, there is significant evidence that successive renewals form part of a continuing series exceeding 10 years. Consequently, the demand loan fails the test and is legally deemed a limited-recourse amount.

This specific risk is not merely theoretical; it is acknowledged in advanced life underwriting circles. Technical commentary within the insurance sector has cautioned that the CRA views demand loans as limited-recourse amounts when the 10-year repayment timeline is absent.

A 2010 CRA advance income tax ruling, 2009-0340381R3, provides a useful public example of this principle: the ruling described a demand loan secured by an insurance policy and annuity as a limited-recourse amount, while nevertheless concluding that the annuity was not a tax shelter because the statutory mathematical threshold was not met. The ruling supports the proposition that the limited-recourse analysis and the tax-shelter numerical test are separate questions.

Had the same arrangement instead produced a net cost of \$0, while the other facts and represented deductions remained unchanged, the numerical requirement in subsection 237.1(1) would have been satisfied, and the arrangement likely would have constituted a tax shelter.

2. "In Respect Of": The Investment as the Relevant Property

Once a loan is deemed to be a limited-recourse amount, the remaining question is whether it constitutes a "prescribed benefit"; that is, whether it is "in respect of" a property, as required under Regulation 3100(1).

Borrowing money to pay life insurance premiums yields zero tax deductions. Under paragraph 20(1)(c) of the ITA, interest is deductible strictly when borrowed funds are directly used to acquire an income-producing investment. By embedding an interest deduction into the IFA's net calculus, the promoter's illustration explicitly represents that the borrowed capital was deployed into a qualifying investment property. Even where marketing materials leave the target asset unnamed or unspecified, the represented tax deduction itself pulls a qualifying investment property directly into the statutory calculus.

This forges an unassailable statutory connection. The Supreme Court of Canada has already established that the phrase "in respect of" is of the widest possible scope, requiring merely a "thought connection" or nexus (*Nowegijick v. The Queen*). The mandatory statutory linkage required to claim a 20(1)(c) write-off easily satisfies this broad requirement under Regulation 3100(1).

This logic aligns directly with CRA administration: Tax Shelter Form T5001 does not require a promoter to name a specific asset. Instead, it requires disclosure of the represented deductions—explicitly pre-populating "interest expense" as a deduction category. The tax-shelter regime treats the represented tax write-off itself as sufficient to identify the property interest, proving that the statutory nexus is established by the represented deduction rather than the specific portfolio choices the taxpayer ultimately makes.

Furthermore, Regulation 3100(3) operates with strict statutory automaticity. It dictates that a limited-recourse amount is automatically a prescribed benefit in respect of the property to which it relates. The legal chain is therefore complete: the \$100,000 financing is a prescribed benefit in respect of the \$100,000 investment property.

3. The Tax-Shelter Math: Putting It All Together

With the legal mechanics established, the final step under subsection 237.1(1) requires no further legal interpretation; it is a strict mathematical calculation comparing represented deductions against the recognized net cost.

Here is how the statutory formula applies to an IFA like our sample above, where the loan amount equals the premium amount and the financing has been established as a prescribed benefit in respect of the investment property:

\$100,000	Initial Property Cost
– \$100,000	Prescribed Benefit
= \$0	Recognized Net Cost

With the net cost forced to zero, the trap is set: representing even \$1 of implied deductions (such as interest or NCPI) passes the statutory tax-shelter threshold, since \$1 is greater than \$0.

Consequently, this specific presentation legally required a Tax Shelter Identification Number before it was ever shown to a client. The penalty here is strictly for the failure to register, not the validity of the deduction. The underlying arrangement may be completely legitimate, but absent that registration number, absolutely no deductions can be claimed.

The Consequences of an Unregistered Tax Shelter

By law, a promoter must register a tax shelter with the CRA and obtain a Tax Shelter Identification Number before offering it for sale.

If a client’s arrangement is assessed as an unregistered tax shelter, CRA positions include:

- **Potential Denial of Deductions:** Under subsection 237.1(6), no amount may be deducted or claimed in respect of a tax shelter unless the prescribed form containing the tax-shelter identification number is filed.
- **Reduction of Cost Basis:** Section 143.2 contains rules that can reduce the expenditure or capital cost of a tax-shelter investment by specified limited-recourse amounts.
- **Third-Party Penalties:** Under subsection 237.1(7.4), selling or accepting consideration for an unregistered tax shelter can trigger penalties equal to the greater of \$500 and 25% of the applicable statutory consideration amount (which could include all investments made in the unregistered plan). Separately, section 163.2 can impose third-party civil penalties where a person makes or participates in a false statement under a statutory knowledge or culpable-conduct standard. Section 163.2 is not triggered merely because an advisor’s tax position is ultimately unsuccessful.

What Can You Do?

If you suspect your life insurance arrangement may be an unregistered tax shelter, consider taking proactive steps:

1. **Run the Math:** Work with an independent technical resource to calculate the “net cost” against represented deductions in the first four years.
2. **Ask for the TS Number:** Request the Tax Shelter Identification Number from the promoter or broker.
3. **Seek Independent Tax Advice:** Consult a qualified tax professional with no financial interest in the policy transaction.

CRA Activity

Consider the CRA’s explicit response to Question 1 at the 2026 CRA Roundtable (Reference: 2026-1089291C6) regarding enforcement. While this does not establish that an ordinary IFA is inherently abusive, it confirms that insurance-based tax planning remains a compliance focus:

We continue to seek out, audit and re-assess all arrangements which attempt to utilize insurance products or insurance-like products to gain a tax advantage not envisioned by tax policy and legislation.

Within CRA, the High Net Worth Compliance Directorate (HNWCD) develops, implements, and coordinates business intelligence and compliance initiatives to address non-compliance in the High Net Worth population through the Audit Program Division, which includes the Aggressive Tax Planning audit program (ATP), and the Tax Promoter and Advisor Compliance program (TPAC).

While the ATP Audit Program addresses aggressive tax planning by taxpayers who participated in such abusive insurance-related tax schemes, the TPAC program addresses non-compliance associated with promoters and advisors who promote or sell aggressive tax schemes. TPAC is accountable for identifying and combating aggressive tax schemes and holding promoters accountable through audit activities.

Conclusion: Following the Money

A mechanical tax-shelter analysis of an IFA does not require complex or speculative recharacterization. Here is a specific statutory pathway by which this particular structure may satisfy the tax-shelter definition. The cleanest route is to follow the money and examine the promoter's own representations alongside the taxpayer's actual tracing of the borrowed funds for paragraph 20(1)(c) purposes:

- Borrowed Funds → Investment
- Investment Cost → \$X
- Limited-Recourse Amount → \$X
- Prescribed Benefit in respect of Investment → \$X
- Represented Deductions → > \$0

If the \$100,000 loan is a prescribed benefit in respect of the investment, the tax-shelter calculation becomes $\$X - \$X = \$0$ net cost. Because the illustration also represents deductible interest and collateral insurance amounts in the first four years, the Mathematical Requirement may then be satisfied – and the statutory requirements for a tax shelter potentially met.

If this analysis is relevant to an IFA you hold or are evaluating, ask your advisor or promoter:

“Has this exact IFA structure been analyzed under ITA ss. 143.2(7), 143.2(12), Regulation 3100(3), and ITA s. 237.1(1), addressing whether the outstanding loan constitutes a prescribed benefit in respect of the reinvested investment, and if so, does the arrangement have a Tax Shelter Identification Number?”

David Kakon, B.Sc. (Math Hons.)

David@ArmstrongLife.com

Appendix 1: The Statutory Chain

For tax professionals reviewing the structural integrity of these arrangements, the mathematical transition to an unregistered tax shelter is triggered by the following statutory chain:

ITA Section 143.2(7): Classifies financing as a “limited-recourse amount” if the arrangement lacks a bona fide written agreement requiring principal repayment within 10 years and interest compliance. S. 143.2(12) addresses *a series of loans* extending beyond 10 years. (Sherman)

ITR Regulation 3100(3): Defines prescribed benefits to include specified limited-recourse amounts under section 143.2, including subsection 143.2(7).

ITA Section 237.1(1): Defines a tax shelter by comparing represented deductions in the first four years against net cost after prescribed benefits.

ITA Section 237.1(6): Prohibits deductions or claims in respect of a tax shelter unless the form containing the tax-shelter number is filed.

ITA Section 143.2(6): Contains rules that reduce the expenditure or capital cost of a tax-shelter investment by specified limited-recourse amounts.

ITA Section 237.1(7.4) & ITA Section 163.2: Outlines civil penalties for selling unregistered tax shelters and third-party penalties for false statements under a culpable-conduct standard.

CRA Guidance on Tax Shelters: The CRA explicitly confirms this mathematical test on their public-facing website under the “Tax Shelters” section of Canada.ca. (*Source:* Canada.ca > Taxes > Income tax > Tax shelters).

Appendix 2: Relevant Resources

2006-0196251C6 F Rente assurée: Abri fiscal & 2009-0340381R3 F Rente assurée: Rulings on demand loans and limited-recourse characterization under section 143.2.

Krumm v. Canada, 2021 FCA 78: Confirms the tax-shelter test is an objective statutory inquiry applied by reference to representations and statutory cost calculations.

Canada v. Baxter, DTC 5199, 2007 FCA 172 & Jevremovic v. Canada, DTC 6263, 2007 FCA 125: Decisions upholding statutory reporting consequences for unregistered tax shelters.

Nowegijick v. The Queen, [1983] 1 SCR 29: Supreme Court of Canada authority confirming that the phrase “in respect of” is given the widest possible scope in tax legislation, requiring only a statutory nexus or thought connection.

CRA Information Circular IC01-1R2: Third-Party Penalties: Updates the application of Section 163.2 civil penalties targeting advisors who promote aggressive tax structures.

Appendix 3: Characteristics of Typical IFA Bank Loans

Based on standard industry documentation we have reviewed, typical Immediate Financing Arrangement (IFA) bank loans often exhibit the following explicit characteristics:

Demand Loan Structure with No Maturity: The facility is explicitly structured as an interest-only demand loan. There is no fixed maturity date and no set schedule requiring the repayment of principal within any specified 10-year period.

Death as an Event of Default: The death of the insured is formally classified as an event of default, which inherently triggers the demand for repayment out of the death benefit, demonstrating an intended timeline spanning the life of the insured.

Mandatory Link to Reinvested Funds: As a condition precedent to releasing funds, the bank requires an investment statement confirming a market value at least equal to the loan amount. This explicitly ties the loan approval directly to the reinvestment of funds, undermining the argument that the financing and subsequent business investment are independent transactions.

Strict Control Over Tracing: The loan conditions explicitly forbid paying the annual insurance premium directly from the line of credit or from the policy's accumulated value. This contractually forces the borrower to execute the specific "two-step" flow of funds (pay premium, then borrow and invest) required to claim paragraph 20(1)(c) tax deductions.

Restricted Drawdowns & Facility Limits: The facility limit is tied directly to cumulative premiums paid and cash surrender value, with annual advance schedules aligned strictly with policy premium cycles rather than flexible general credit line drawdowns.

Product Branding and Integration: The product is explicitly branded as an integrated strategy tied directly to the life policy (e.g., "Immediate Financing Arrangement – Investment Line of Credit"), further establishing the integrated nature of the representations.

Explicit Lender Tax Disclaimer: The facility agreement contains a specific waiver stating that the bank makes no representations and provides no guarantees regarding the tax or accounting aspects of the arrangement. This contractual exclusion acknowledges the inherently tax-driven nature of the strategy while legally isolating the insurance promoter as the sole party making the paragraph 20(1)(c) representations that ultimately trigger the statutory tax-shelter calculation.

Reviewer Note

This analysis should be evaluated against the complete IFA documentation, including the actual loan agreement, policy illustration, financing conditions, representations, and flow of funds. In particular, reviewers should independently test the loan terms under ITA ss. 143.2(7) and (12), determine whether any resulting limited-recourse amount is a prescribed benefit in respect of the investment, and calculate whether the representations satisfy the s. 237.1 tax-shelter test.

Characteristics of an Immediate Financed Life Insurance Plan

Income Tax Rate: 50.17%

Loan Interest Rate: 5.00%

Characteristics of an Immediate Financed Life Insurance Plan Deposits as Scheduled Current -1 Dividend Scale 5.35% (For Information Purposes Only)

Policy Information			Loan Details			Annual Deductions				Benefits	
	#1	#2	#3	#4	#5	#6	#8	#9	#10	#11	#12
	Deposit	Cash Value	Death Benefit	Annual Loan Amount	Cumulative Loan Amount	Loan Security Collateral (#5 - #2)	Tax Deductible Interest	Tax Deductible Premium	Total Annual Tax Deductions (#8 + #9)	Total Annual Tax Savings (#10xTx%)	Net Death Benefit (#3 - #5)
1 60	\$100,000	\$61,091	\$1,446,039	\$100,000	\$100,000	\$38,909	\$5,000	\$175	\$5,175	\$2,596	1,346,039
2 61	100,000	127,089	1,586,368	100,000	200,000	72,911	10,000	486	10,486	5,261	1,386,368
3 62	100,000	197,740	1,728,112	100,000	300,000	102,260	15,000	896	15,896	7,975	1,428,112
4 63	100,000	272,084	1,868,904	100,000	400,000	127,916	20,000	1,417	21,417	10,745	1,468,904
5 64	100,000	349,913	2,008,261	100,000	500,000	150,087	25,000	2,060	27,060	13,576	1,508,261
6 65	100,000	447,235	2,146,651	100,000	600,000	152,765	30,000	2,845	32,845	16,478	1,546,651
7 66	100,000	554,921	2,284,685	100,000	700,000	145,079	35,000	3,790	38,790	19,461	1,584,685
8 67	100,000	673,270	2,422,740	100,000	800,000	126,730	40,000	4,915	44,915	22,534	1,622,740
9 68	100,000	802,556	2,561,174	100,000	900,000	97,444	45,000	6,243	51,243	25,709	1,661,174
10 69	100,000	943,038	2,700,334	100,000	1,000,000	56,962	50,000	7,789	57,789	28,993	1,700,334
11 70	0	995,100	2,666,002	0	1,000,000	4,900	50,000	8,874	58,874	29,537	1,666,002
12 71	0	1,054,681	2,634,855	0	1,000,000	0	50,000	10,053	60,053	30,128	1,634,855
13 72	0	1,121,971	2,606,979	0	1,000,000	0	50,000	11,348	61,348	30,778	1,606,979
14 73	0	1,197,165	2,582,453	0	1,000,000	0	50,000	12,739	62,739	31,476	1,582,453
15 74	0	1,280,453	2,561,357	0	1,000,000	0	50,000	14,229	64,229	32,224	1,561,357
16 75	0	1,323,698	2,543,051	0	1,000,000	0	50,000	15,829	65,829	33,027	1,543,051
17 76	0	1,368,098	2,526,713	0	1,000,000	0	50,000	16,133	66,133	33,179	1,526,713
18 77	0	1,414,037	2,512,257	0	1,000,000	0	50,000	16,226	66,226	33,225	1,512,257
19 78	0	1,461,654	2,499,626	0	1,000,000	0	50,000	16,308	66,308	33,266	1,499,626
20 79	0	1,511,107	2,488,774	0	1,000,000	0	50,000	16,379	66,379	33,302	1,488,774
21 80	0	1,562,582	2,479,661	0	1,000,000	0	50,000	16,439	66,439	33,332	1,479,661
22 81	0	1,616,301	2,472,255	0	1,000,000	0	50,000	16,488	66,488	33,357	1,472,255
23 82	0	1,672,174	2,466,528	0	1,000,000	0	50,000	16,526	66,526	33,376	1,466,528
24 83	0	1,729,676	2,462,467	0	1,000,000	0	50,000	16,554	66,554	33,390	1,462,467
25 84	0	1,788,435	2,460,038	0	1,000,000	0	50,000	16,570	66,570	33,398	1,460,038
26 85	0	1,848,331	2,459,189	0	1,000,000	0	50,000	16,576	66,576	33,401	1,459,189
27 86	0	1,909,255	2,459,866	0	1,000,000	0	50,000	16,571	66,571	33,399	1,459,866
28 87	0	1,971,085	2,462,024	0	1,000,000	0	50,000	16,557	66,557	33,391	1,462,024
29 88	0	2,033,645	2,465,619	0	1,000,000	0	50,000	16,532	66,532	33,379	1,465,619
30 89	0	2,096,731	2,470,612	0	1,000,000	0	50,000	16,499	66,499	33,363	1,470,612
31 90	0	2,159,535	2,476,217	0	1,000,000	0	50,000	16,462	66,462	33,344	1,476,217
32 91	0	2,229,555	2,530,229	0	1,000,000	0	50,000	0	50,000	25,085	1,530,229
33 92	0	2,298,778	2,584,179	0	1,000,000	0	50,000	0	50,000	25,085	1,584,179
34 93	0	2,368,072	2,638,095	0	1,000,000	0	50,000	0	50,000	25,085	1,638,095
35 94	0	2,438,237	2,691,999	0	1,000,000	0	50,000	0	50,000	25,085	1,691,999
36 95	0	2,509,972	2,745,912	0	1,000,000	0	50,000	0	50,000	25,085	1,745,912
37 96	0	2,584,750	2,799,844	0	1,000,000	0	50,000	0	50,000	25,085	1,799,844
38 97	0	2,665,320	2,853,789	0	1,000,000	0	50,000	0	50,000	25,085	1,853,789
39 98	0	2,756,593	2,907,715	0	1,000,000	0	50,000	0	50,000	25,085	1,907,715
40 99	0	2,867,532	2,961,547	0	1,000,000	0	50,000	0	50,000	25,085	1,961,547
41 100	0	3,015,145	3,015,145	0	1,000,000	0	50,000	0	50,000	25,085	2,015,145

1,000,000

Armstrong

— Financial Services —

ARMSTRONG FINANCIAL SERVICES INC.

Firm in the insurance of persons

SERVICES FINANCIERS ARMSTRONG INC.

Cabinet en assurance de personnes

David E. Kakon, B.Sc. (Math Hons.)

Financial security advisor

David@ArmstrongLife.com

<http://ArmstrongLife.com>

Tel. (514) 574-0233

Fax. (514) 447-1804

This article, including any mathematical examples, case studies, and interpretations of the Income Tax Act, is provided for educational and informational purposes only and represents the personal opinion of the author. It does not constitute legal, tax, accounting, or financial advice. The application of tax shelter definitions, the General Anti-Avoidance Rule (GAAR), and Canada Revenue Agency (CRA) enforcement policies to Immediate Financing Arrangements (IFAs) is highly complex and depends heavily on the specific facts, documentation, and structure of each individual case. Tax laws, regulations, and CRA administrative positions are dynamic and subject to change, potentially retroactively. Readers, including professional advisors, should not act or rely upon any information contained herein without first seeking independent, qualified tax and legal counsel tailored to their specific circumstances. The author assumes no liability for any errors or omissions, nor for any assessments, penalties, or financial damages arising from actions taken or not taken in reliance on the contents of this article. Reviewing this article does not establish an advisor-client relationship, nor is any offer to review policies intended to solicit or infringe upon any existing relationships.